

### 4-3b Post-Closing Trial Balance

A post-closing trial balance is prepared after the closing entries have been posted. The purpose of the post-closing (after closing) trial balance is to verify that the ledger is in balance at the beginning of the next period. The accounts and amounts should agree exactly with the accounts and amounts listed on the balance sheet at the end of the period. The post-closing trial balance for **NetSolutions** is shown in **Exhibit 7**.

**Exhibit 7**

**Post-Closing Trial Balance, NetSolutions**

| NetSolutions<br>Post-Closing Trial Balance<br>December 31, 20Y3 |                |                   |                    |
|-----------------------------------------------------------------|----------------|-------------------|--------------------|
|                                                                 | Account<br>No. | Debit<br>Balances | Credit<br>Balances |
| Cash.....                                                       | 11             | 2,065             |                    |
| Accounts Receivable.....                                        | 12             | 2,720             |                    |
| Supplies.....                                                   | 14             | 760               |                    |
| Prepaid Insurance.....                                          | 15             | 2,200             |                    |
| Land.....                                                       | 17             | 20,000            |                    |
| Office Equipment.....                                           | 18             | 1,800             |                    |
| Accumulated Depreciation—Office Equipment.....                  | 19             |                   | 50                 |
| Accounts Payable.....                                           | 21             |                   | 900                |
| Wages Payable.....                                              | 22             |                   | 250                |
| Unearned Rent.....                                              | 23             |                   | 240                |
| Common Stock.....                                               | 31             |                   | 25,000             |
| Retained Earnings.....                                          | 32             |                   | <u>3,105</u>       |
|                                                                 |                | <u>29,545</u>     | <u>29,545</u>      |